وارد ومهارات by Talent 360° × ادخار eddekhar



Employer guide

Saudi Labour Law after the 2025 amendments

Contracts and probation, working hours, leave, GOSI, termination and end of service, and Saudization, with article numbers and worked examples.

February 2025 amendments | Qiwa, Mudad, GOSI | End-of-service award | Saudization 2026

Updated 2026 · Talent360 × Eddekhar

talent-360.me · business-growth@talent-360.me

Contents

The Labour Law issued by Royal Decree M/51, as amended from 19 February 2025 by Royal Decree M/44 and Cabinet Decision 117: 38 articles changed, 7 removed and 2 added. This guide brings together what a private-sector employer needs, with article numbers, worked examples and the 2026 government-platform requirements.

01 **Overview and key amendments**
What changed on 19 February 2025

02 **Contracts, probation and Qiwa**
Articles 9, 37, 53 and 80

03 **Working hours and overtime**
Articles 98, 101, 104 and 107

04 **Leave**
Articles 109 to 117 and 151

05 **Pay, wage protection and GOSI**
Articles 90 and 94, Mudad, and GOSI

06 **Termination and resignation**
Articles 64 and 75 to 81

07 **End-of-service award**
Articles 84 to 88

08 **Saudization and Nitaqat in 2026**
Bands, profession quotas and new decisions

09 **Checklist and calendar**
What to review now, and when

01 Overview and key amendments

What changed on 19 February 2025

Topic	Before	After
Probation (Art 53)	90 days, extendable in writing to 180	Up to 180 days in total, stated in the contract
Non-Saudi contract (Art 37)	Tied to the work permit	One year if no term is stated, renewing for the same period
Employee notice (Art 75)	60 days	30 days (employer still 60)
Resignation (Art 79 bis)	Not expressly regulated	Reply within 30 days, defer up to 60 with reason, withdraw within 7 days
Maternity (Art 151)	10 weeks	12 weeks, 6 mandatory after birth
Special leave (Art 113)	No sibling bereavement	Marriage 5, bereavement 5, sibling 3, new child 3
Overtime (Art 107)	Pay only	Pay, or paid time off with consent
Equal treatment	—	No discrimination by gender, age, nationality, marital status or disability

Employer tip

The end-of-service articles (84 to 88) were not changed by the 2025 amendments.

02 Contracts, probation and Qiwa

Articles 9, 37, 53 and 80

- A written contract in two copies on the Ministry's unified model, covering pay, allowances, benefits, the work, its place, the start date and any fixed term.
- Arabic is the contract language; where another language is used, the Arabic prevails (Art 9).
- A non-Saudi's contract is written and fixed-term; with no term stated it runs one year from the start and renews for the same period (Art 37).
- Probation up to 180 days in total, stated in the contract (Art 53); either side may end the contract during it with no award, notice or compensation (Art 80).

Qiwa contract documentation in 2026

Required compliance rate	85% from 30 April 2026, then 90% from 30 June 2026
How it is measured	Documented contracts over all the establishment's contracts
Effect on Nitaqat	Since 15 April 2026 only Saudis with documented contracts count
Falling short	Can restrict the establishment's Ministry services

Watch out

A Saudi employee whose contract is not documented on Qiwa does not count towards Saudization, even if registered with GOSI.

03 Working hours and overtime

Articles 98, 101, 104 and 107

Maximum	9 hours a day on a daily standard, or 45 a week on a weekly standard (Art 98)
Ramadan	7 hours a day or 35 a week for Muslim employees (Art 98)
Breaks	No more than 5 hours in a row without a 30-minute break, and no more than 12 hours on site (Art 101)
Weekly rest	Two fully paid rest days a week, one of them Friday, which may be swapped by notifying the labour office (Art 104)
Overtime hour	Hourly wage + 50% of the basic wage, or paid time off with consent (Art 107)

Worked example · An overtime hour

1. The employee's hourly wage: SAR 50; basic hourly wage: SAR 30.
2. Overtime hour: 50 + (30 × 50%) = SAR 65.
3. 10 overtime hours in a month: 10 × 65 = SAR 650.

Due: SAR 650, or paid time off by written agreement

04 Leave

Articles 109 to 117 and 151

Leave	Entitlement	Notes
Annual (Art 109)	21 days; 30 after 5 continuous years	Not cashed in during employment; 30 days' notice of dates
Eids and occasions (Art 112)	Full pay	As set by the regulations
Marriage (Art 113)	5 paid days	
Death of spouse, parent or child	5 paid days	
Death of a sibling	3 paid days	New in 2025
Birth of a child	3 paid days	Taken within 7 days of the birth
Hajj (Art 114)	10 to 15 paid days including Eid al-Adha	Once, after 2 continuous years
Exams (Art 115)	Actual exam days, paid	Unpaid for a repeat year
Sick (Art 117)	30 days full pay, 60 at three quarters, then 30 unpaid	In one year, continuous or not
Maternity (Art 151)	12 weeks on full pay	6 weeks mandatory after birth; may start up to 4 weeks before the due date
Unpaid (Art 116)	By agreement	Contract suspended beyond 20 days unless agreed otherwise

If employment ends before leave is used, the employee is paid for the accrued days and for leave on the part-year worked (Art 111).

05 Pay, wage protection and GOSI

Articles 90 and 94, Mudad, and GOSI

- Monthly pay is paid once a month into the employee's account at an approved bank in the Kingdom (Art 90).
- The wage file goes up monthly on Mudad; since 1 March 2025 it may only cover the previous month (30 days, down from 60).
- Unjustified deductions or delays can bring a fine of up to twice the amount (Art 94).

Group	Employer	Employee
Saudi insured before 3 July 2024: pension	9%	9%
SANED (unemployment)	0.75%	0.75%
Occupational hazards	2%	—
Saudi insured from 3 July 2024: pension	Starts at 9%, rising 0.5 points a year from July 2025 to 11%	Same as employer
Non-Saudi	2% occupational hazards only	None

The contributory wage is basic pay plus housing allowance, capped at SAR 45,000 a month.

06 Termination and resignation

Articles 64 and 75 to 81

Situation	Rule
Notice, indefinite contract (Art 75)	Monthly pay: 60 days from the employer, 30 from the employee. Otherwise 30 days either way. For a legitimate reason.
Notice not observed (Art 76)	The party at fault pays wages for the notice period
Termination for an invalid reason (Art 77)	Unless the contract sets it: 15 days' wage per year (indefinite) or the rest of the term (fixed), minimum two months' wage
Resignation (Art 79 bis)	Deemed accepted if no reply within 30 days; the employer may defer up to 60 days with a written reason; the employee may withdraw within 7 days unless accepted
Dismissal without award (Art 80)	Only in listed cases such as assault, serious breach of duties or misconduct, after giving the employee a chance to object
Leaving without notice (Art 81)	Allowed if the employer breaches essential duties, misleads, mistreats or exposes the employee to serious danger
Experience certificate (Art 64)	Free on request, with no remark that harms the employee, plus return of their documents

Worked example · Ending an indefinite contract for an invalid reason

1. An employee with 6 years' service on SAR 9,000 a month (SAR 300 a day).
2. Compensation: 15 days × 6 years × 300 = SAR 27,000 (above the two-month minimum of 18,000).
3. On top of the end-of-service award, and notice pay if notice was not given.

Compensation: SAR 27,000

07 End-of-service award

Articles 84 to 88

Formula (Art 84)	Half a month per year for the first five years, a month per year after, on the last wage, with part-years pro rata
Resignation (Art 85)	Under 2 years: nothing. 2 to 5: one third. Over 5 and under 10: two thirds. 10 or more: full
Exceptions (Art 87)	Full award for force majeure, and for a woman leaving within 6 months of marriage or 3 months of giving birth
Payment (Art 88)	Within a week of the end, or two weeks if the employee ended it

Service	Employer ends it / term expires	Resignation
1 year	0.5 month	Nothing
3 years	1.5 months	0.5 month
5 years	2.5 months	0.83 month
8 years	5.5 months	3.67 months
10 years	7.5 months	7.5 months

Worked example · 8 years' service on SAR 10,000

1. First five years: 5 × 0.5 = 2.5 months.
2. Next three years: 3 × 1 = 3 months. Total 5.5 months = SAR 55,000.
3. On resignation (over 5, under 10): two thirds = about SAR 36,667.

SAR 55,000, or about 36,667 on resignation

08 Saudization and Nitaqat in 2026

Bands, profession quotas and new decisions

Nitaqat Mutawar places each establishment in one of five bands: Platinum, High Green, Medium Green, Low Green and Red, by its Saudization rate against its activity and size. Low Green and Red establishments lose access to new visas and other services.

Decision	Rate	From
46 engineering professions, establishments with 5+ engineers, with Saudi Council of Engineers accreditation	30%	30 June 2026
69 administrative support professions	100% Saudi	In force 4 October 2026, with inspections
Saudization count	Only Saudis with Qiwa-documented contracts	15 April 2026

Watch out

Since the 2025 amendments, breaching the Labour Law generally, not only Saudization quotas, can block new or renewed work permits for non-Saudis.

09 Checklist and calendar

What to review now, and when

- [ ] Contract templates: explicit probation (up to 180 days), non-Saudi term, new notice periods.
- [ ] Every contract documented on Qiwa, rate at 90% or above.
- [ ] Leave policy: maternity 12 weeks, birth 3 days, sibling bereavement 3 days, marriage and bereavement 5 days.
- [ ] Resignation process: reply within 30 days, defer up to 60 with a written reason.
- [ ] Mudad file uploaded monthly, covering only the previous month.
- [ ] GOSI at the right rate for each group, capped at SAR 45,000.
- [ ] End-of-service and overtime calculations match Arts 84, 85 and 107.
- [ ] Saudization in targeted professions (engineering, administrative support).

When	What to do
Monthly	Pay wages, upload the Mudad file, pay GOSI
Every hire	Document the contract on Qiwa and register with GOSI
30 days before annual leave	Notify the employee of their leave dates
Every July	Raise the pension rate 0.5 points for new-system members, up to 11%
1 or 2 weeks after exit	Pay final dues and the end-of-service award (Art 88)

We keep you compliant with the Labour Law and the platforms

Talent360 runs HR, payroll, Qiwa, Mudad, GOSI and Saudization for you. Book a free 30-minute check.

10% off every Talent360 service for Eddekhar clients

Book your free HR check

Human capital management (HCM)
We act as your HR department: payroll, contracts and compliance.

Your team in Egypt
A full team in Egypt without a local company; contracts and insurance on us.

Recruitment
From defining the role to day one.

Policies and bylaws
Work and disciplinary bylaws, and updated contract templates.

Saudi office
7750 King Abdelaziz Rd, Riyadh

Egypt office
Nasr City, Cairo

Contact us
+966 592060727
business-growth@talent-360.me
talent-360.me

Rules as published up to 2026.